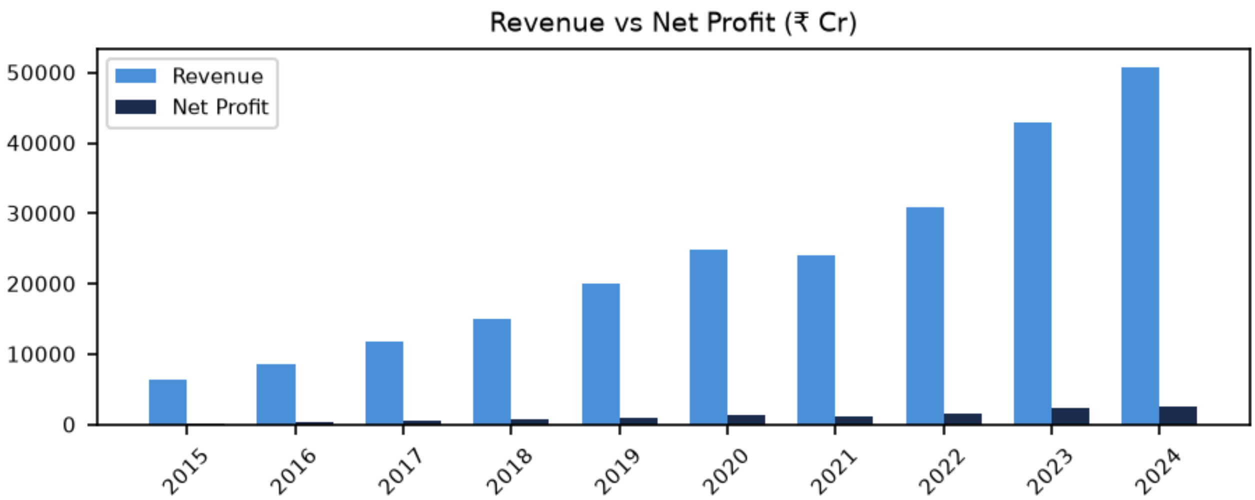
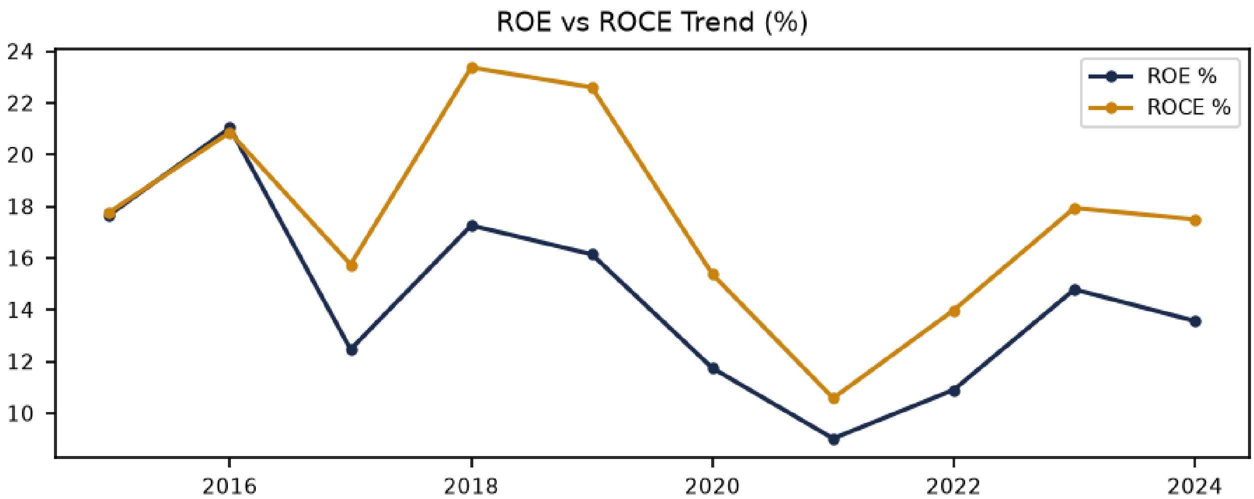
Avenue Supermarts Ltd

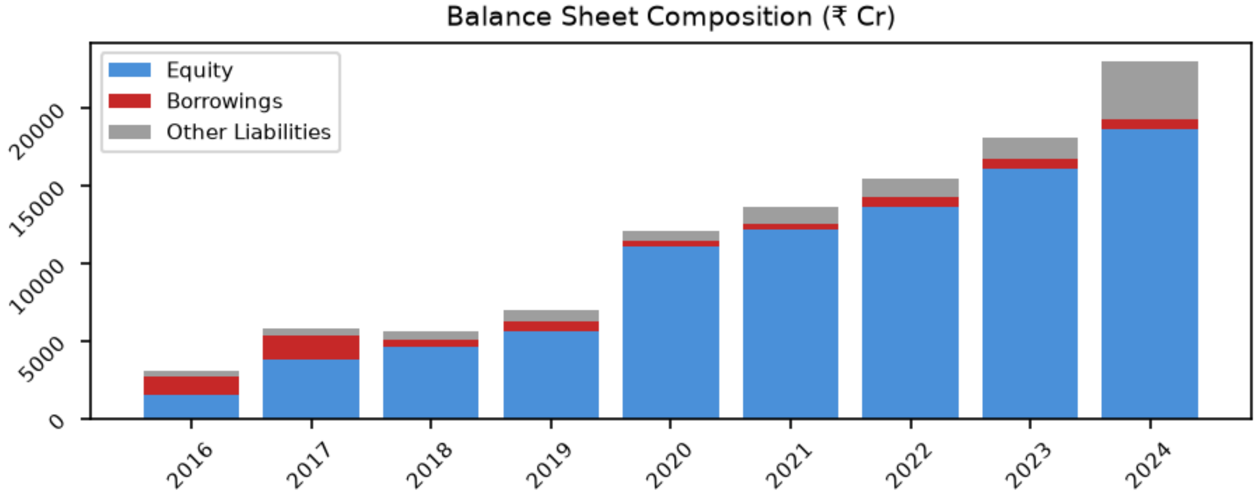
DMART · Consumer Discretionary

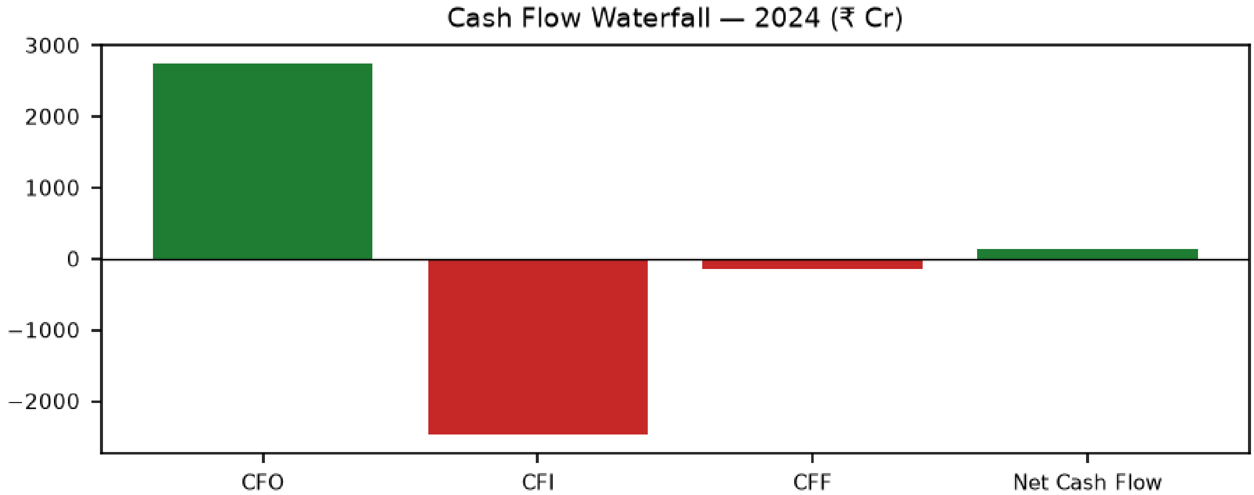
ROE	ROCE	Net Profit Margin
13.6%	17.5%	5.0%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
0.03	20.5%	■278 Cr









Pros

✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing

✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

✗ Debt-to-equity ratio of 0.03 is a factor worth monitoring given the company's capital structure

Capital Allocation: Reinvestor